JPMorgan - bank accounting pilot

Dated 2026-10-06 | Focused validation | not a full thesis

Bank-specific substitution

A bank uses deposits and funding as part of its operating franchise. Customer-deposit inflows are not an operating-company owner free cash flow, and cash/debt adjustments from industrial-company enterprise value cannot be applied without regard to regulatory capital. Use equity earnings, tangible/common book and capital constraints.

The Q2 2026 supplement reports tangible book per share of $113.35; TBV excludes specified intangible claims and uses the tangible common-equity denominator. Use ROTCE with tangible book; do not mix ROE on total common equity with a tangible denominator. Reported quarterly ROTCE was 29%, but the release includes $4.6bn of Visa gains and $1bn of other investment gains; excluding significant items reduced net income from $21.2bn to $16.9bn. A quarterly annualisation is not a sustainable return. [j1 note2d; j2 pp2,10]

Illustrative long-run case	ROTCE / ke / g	Conditional value
Bear	14% / 11% / 3%	$155.86
Base	18% / 10% / 4%	$264.48
Bull	22% / 9% / 4%	$408.06

Value = TBV per share x (sustainable ROTCE - growth) / (equity cost - growth). Reinvestment fraction is growth / ROTCE. The arithmetic reproduces an equity residual-return / steady-state dividend relationship; it does not establish that regulators permit those distributions. These are analyst assumptions and dated June book inputs, not an October fair-value recommendation.

Capital and return constraints

Standardized estimated CET1 was 14.1%, down from 15.1% a year earlier. The supplement explicitly says the Advanced total-capital ratio was more binding at June 2026. Capital adequacy therefore cannot be represented solely by a percentage buffer in standardized CET1. Distribution analysis also needs the applicable requirements, risk-weighted-asset growth, leverage constraints, stress buffers and management policy. [j2 capital p9]

The Q2 declared dividend was $1.50 per share. Multiplying it by four is a run-rate observation, not a verified five-year cash-flow schedule. No current security quote, distribution forecast or dated bank-return model is approved in this focused pilot; price-specific prospective returns and entry prices are withheld. Generic dated-dividend/ownership arithmetic is separately tested with controlled fixtures.

The workbook retains the reported TBV and exposes the What-if sustainable ROTCE, equity cost and growth assumptions. The Base arithmetic is $264.48; changing the What-if ROTCE from 18% to 19% raises it to $283.37. Those results validate formula behaviour, not investment merit. Stronger sector review remains pending.

Evidence appendix

j1 | Q2 2026 earnings release
Published: 2026-07-14 | filing | locations: headline / significant items note2d
Preservation: sources/2026-q2-release.htm

j2 | Q2 2026 financial supplement
Published: 2026-07-14 | filing | locations: capital p9; financial highlights p2; financial highlights p2; reconciliation p10
Preservation: sources/2026-q2-supplement.htm